Core Scientific (CORZ)

3Q26 | 5 November 2026 | Earnings Brief | Post-call version | Josh, with Trevor and Scott

1 Executive snapshot

Consensus thesis. Investors own Core Scientific as a colocation landlord with about 1.1 GW leased, moving from CoreWeave-only to AMD-backed tenancy, and price doubt over CoreWeave credit and over how the $6bn AMD build gets financed.

Thesis status. Monitoring

Versus expectations. Quarter: beat, revenue $232.9mn against about $196.4mn to $196.9mn (+18%); adjusted EBITDA $133.6mn, no consensus found; diluted EPS $0.47 is warrant-driven and not comparable to about -$0.05. Outlook: in line on delivery (4Q revenue up double digits sequentially, AMD from 1H27); below on funding, with project debt still not secured.

Biggest changes. (1) Rent ramp beat: 485 MW billing against 437 MW in mid-July and 395 MW in June; colocation revenue $215.4mn, +58% QoQ; colocation gross margin 60%. (2) First clean operating profit: operating income $72.4mn (31% margin) against a $78.5mn loss, with adjusted EBITDA margin 57%. (3) AMD funding still open: the 10-Q says the build will need additional external financing, with project bonds expected within 12 months and 'no assurance'. Management says no equity is expected for the initial 530 MW and all its equity is already invested. (4) Liquidity fell $857mn to $1,744mn after $540mn of capex and $444mn for Polaris, against $4.4bn of purchase and construction commitments, mostly over 24 months. (5) Definition correction: the $3bn market-cap test is a condition to borrow on the revolver, not a maintenance covenant. The quarterly test is $150mn minimum liquidity.

Investor takeaway. The consensus view needs little change: delivery and margins came in better than expected, which supports the rent story, but credit quality holds rather than improves until the AMD project bond prices and because almost all current revenue still depends on CoreWeave, whose debt trades at distressed levels.

Monitor next quarter. (1) First AMD project bond: size, yield, advance rate, recourse. (2) Dalton Phase Two: the last roughly 100 MW of CoreWeave billing by early 2027, and first Pecos delivery in 1H27. (3) Tranche 1 warrant cash (about $650mn, expiry 23 January 2027) and whether AMD exercises reservations through 2027.

Pillar scorecard

Pillar	What the quarter showed	Verdict
P1 CoreWeave ramp delivers	485 MW at 30 September, unchanged at the call; license fees $157.3mn; remaining about 100 MW at Dalton by early next year, no firm dates	Confirmed
P2 CoreWeave credit holds	All colocation revenue, 84% of 9M revenue. Leases assigned to CW SPV with CoreWeave still primary obligor; management cites SPV backing, guarantee and UCC-perfected security. No analyst asked. 10-Q: recourse depends on its condition at default	Unresolved
P3 AMD diversifies	Pecos 1H27, about half online in 2027, rest through 2028; reservation right on 1,925 MW through 28 December 2028. No AMD lease has commenced, construction underway across five campuses; AMD holds warrants as lease incentive	Unresolved
P4 Project debt funds the AMD build	Not secured; no yield, advance rate or date. 'The project bond market is absolutely open', but no gating item was named. Equity: none expected for 530 MW	Challenged
P5 Clean numbers	$1,034mn warrant gain drove net income $1,178mn; material weakness not remediated, target year-end assessment. Operating income now positive	Unresolved

Key KPIs

Metric	3Q26	2Q26	3Q25	QoQ / YoY
Billing MW	485	395	n.a.	[↑] +22.8%
Total revenue ($mn)	232.9	164.2	81.1	[↑] +41.8% / +187%
Colocation revenue ($mn)	215.4	136.7	15.0	[↑] +57.6% / +1,341%
Colocation gross margin	60%	59%	26%	[~]
Adjusted EBITDA ($mn)	133.6	41.1	6.5	[↑] +225%
Adjusted EBITDA margin	57%	25%	8%	[↑]

Metric	3Q26	2Q26	3Q25	QoQ / YoY
Operating income ($mn)	72.4	-78.5	-54.8	[↑]
Operating margin	31.1%	-47.8%	-67.6%	[↑]
Capex incl. acquisitions ($mn)	985.1	797.5	244.5	[↓] +23.5%
Liquidity and DSRA ($mn)	1,744.2	2,601.1	694.8	[↓] -32.9%
Cash ($mn)	803.9	1,769.7	n.a.	[↓] -54.6%
Long-term debt ($mn)	4,302.2	4,298.0	n.a.	[~]

Guidance

Metric	Guidance	vs. prior
4Q revenue	Double-digit sequential increase	New
CoreWeave delivery	About 100 MW remaining by early 2027	Consistent; preview had a year-end start
AMD delivery	Pecos 1H27; about half in 2027; rest through 2028	Maintained
AMD build cost	$11mn-$12mn per MW	Maintained
Portfolio run-rate	$1.8bn revenue, $1.6bn NOI on about 1.1 GW	Maintained
AMD equity	None expected for Phase 1	Firmer than October

Top risks

CoreWeave credit and concentration: All colocation revenue; 10-Q flags limits on recourse; CoreWeave CDS touched 1,194.5bp in October; stock $48.42 on 4 November

AMD financing: Bond not priced; $4.4bn commitments; 10-Q warns it may reduce, delay or modify spend without financing

Liquidity sequence: $804mn cash, $838mn restricted, $100mn revolver; revolver draw needs market cap of $3bn or more (about $3.7bn at $11.63)

Analyst focus

Funding drew partial answers and permits drew the most questions. No analyst raised CoreWeave credit. Petersen (Jefferies) pressed hardest on project finance; no figure given. — Trevor

Monitoring

5 signals: AMD bond terms; Dalton billing; warrant exercise; first AMD reservation exercise; CoreWeave results on 10 November. Key risks building: funding sequence; Texas air permits; CoreWeave. Confirmation signals: Project bond priced with no parent recourse; Pecos on time; second tenant named. Conviction tripwires: Equity sold near $12; revolver unavailable if market cap falls below $3bn; any CoreWeave lease amendment; rent credits extended.

Read-across for Kona

Three points. A signed AMD-backed lease still has not produced a priced bond after more than three months, so Kona should not assume paper converts to debt quickly. AMD's support came with warrants valued at $90.1mn on the first 530 MW, about $0.17mn per MW, plus more on reserved MW: credit from a stronger party has a price Kona should budget. And US peers now pursue behind-the-meter with air permits unfiled, which keeps Kona's permitted off-grid pitch relevant, though analysts here asked about permits more than anything else.